NOVA XPRESS LOGISTICS

MONTHLY COMPANY REPORT

Reporting Period: September 2026
Prepared by: General Manager NovaXpress

1. Executive Summary

September 2026 was a month of investment for Nova Xpress Logistics. Revenue reached ₦7,635,000, up 6.69% on August, and gross profit rose to ₦4,791,000 (62.75% of revenue). Reported net profit was ₦22,100 (0.29% of revenue) because ₦1,680,000 was spent on expansion (the Lagos project, ₦1,000,000) and equipment (a phone for social media content, ₦680,000).

Before these two items, profit would have been ₦1,702,100 (22.29% of revenue), compared with ₦2,016,300 in August. Deliveries were 1,224 of 1,709 assigned orders (71.62%), slightly below August. Customer and sales representative factors caused 94.85% of undelivered orders.

2. Financial Performance

TOTAL REVENUE			**7,635,000**
Other Income			
Cost of services /direct cost			
	Riders/PDA Salary / Wages	1,794,600	
	Fuel, Maintenance & Lubricant	995,400	
	Other i.e. airtime & data	54,000	
		2,844,000	
GROSS PROFIT			**4,791,000**
Operational Expenses			
	Admin Salaries	2,470,000	
	Office Expenses /Mgt Airtime	96,000	
	Other Expenses	2,202,900	
		4,768,900	
NET PROFIT			**22,100**

2b. Financial Breakdown

Item	September (₦)	August (₦)	Change
Total revenue	7,635,000	7,156,000	+6.69%
Riders/PDA salary and wages	1,794,600	1,713,600	+4.73%
Fuel, maintenance and lubricant	995,400	1,017,100	-2.13%
Airtime and data	54,000	28,000	+92.86%
Total direct costs	**2,844,000**	**2,758,700**	**+3.09%**
Gross profit	**4,791,000**	**4,397,300**	**+8.95%**
Admin salaries	2,470,000	2,120,000	+16.51%
Office expenses/Management airtime	96,000	61,000	+57%
Other expenses	2,202,900	152,000	+1,349.3%
Total operational expenses	**4,768,900**	**2,381,000**	**+100.29%**
Net profit	**22,100**	**2,016,300**	**-98.90%**

Direct costs were 37.25% of revenue (38.55% in August) and operational expenses were 62.46% (33.28% in August). Admin salaries rose by ₦350,000, which is 16.51% on 6.69% revenue growth.

2c. What is inside Other Expenses (₦2,202,900)

Group	Amount (₦)	Share
Expansion: project in Lagos	1,000,000	45.39%
Equipment: iPhone for social media	680,000	30.87%
Conclave and related event items [purpose to be stated]	305,500	13.87%
Power: light bill and generator running costs	121,000	5.49%
Delivery handling: waybills, goods retrieval, POS **Enquiries (Xpress Lagos)**	75,000	3.40%
Packaging: burner replacement and supplies	21,400	0.97%
Total	**2,202,900**	**100%**

Adjusted view: adding back the Lagos project and the phone gives a profit before expansion and equipment of ₦1,702,100. This is shown for understanding only; reported net profit remains ₦22,100.

3. Operations Department

Delivery performance	September	August	Change
Total orders assigned	1,709	1,777	-3.83%
Total orders delivered	1,224	1,285	-4.75%
Total orders undelivered	485	492	-1.42%
Delivery rate	71.62%	72.31%	-0.69 points

3a. Breakdown of undelivered orders

Cause	September	% of failures	August	% of failures
Customer factor	310	63.92%	315	64.02%
Sales rep factor	150	30.93%	152	30.89%
Rider factor	20	4.12%	20	4.07%
Cancelled orders	5	1.03%	5	1.02%
Total undelivered	**485**	**100%**	**492**	**100%**

- Customer and sales rep factors together caused 460 of the 485 failed orders (94.85%). Rider-related failures were only 20 orders.
- The sales rep factor has not improved: 30.93% of failures in September against 30.89% in August, despite better confirmation before dispatch being recommended in July.
- If the 150 sales rep failures had been delivered, the delivery rate would have been about 80.4% instead of 71.62%.
- Delivery rate has fallen two months in a row: 75.0% (July), 72.31% (August), 71.62% (September).

4. Rider Performance

Rider	August score	September score
Godwin	69%	70%
Kefas	69%	73%
Abdullahi	67%	67%
Simon	72%	61%
Oladele	67%	73%
Hussaini	74%	66%
Oche	50%	52%
Peter	-	67%

5. Growth Metrics: June to September 2026

Metric	June	July	August	September
Revenue (₦)	-	5,592,899	7,156,000	7,635,000
Orders delivered	1,029	1,108	1,285	1,224
Delivery rate	70.9%	75.0%	72.31%	71.62%
Revenue per delivered order (₦)	-	5,048	5,569	6,238
Net profit (₦)	2,069,500	2,291,399	2,016,300	22,100

6. Key Achievements

- Highest revenue of the last three months at ₦7,635,000.
- Gross margin improved to 62.75% from 61.45%, helped by 12.0% higher revenue per delivered order.
- The Lagos expansion project was funded, and equipment for social media content was acquired.

7. Key Challenges

- Net profit was ₦22,100 after investment spending; even before it, profit of ₦1,702,100 was below August's ₦2,016,300.
- Delivery rate down to 71.62%, with 94.85% of failures caused by customers and sales rep confirmation.
- Wages per delivered order up 9.9%, and admin salaries up 16.51%.
- Other Expenses carried most of the month's spending in one line.

8. Recommendations

Action	Linked finding	Owner
No order is dispatched without a logged confirmation call; track failures per sales rep weekly	150 sales rep failures (30.93%), unchanged since August	Operations
Record the reason for each customer failure (unreachable, switched off, rescheduled, insufficient funds, absent)	310 customer failures (63.92%)	Operations

Conclusion

September shows a business that grew revenue and improved its gross margin while investing in expansion and equipment. The reported profit does not reflect the underlying operation, but the delivery rate and the confirmation problem need action: most failed deliveries are within the company's control. The October report should show whether the Lagos project and the new equipment are delivering results.

Submitted by

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